Activity Sheet: Pricing Game (The Prisoner's Dilemma)

In this activity, you will act as a business competing in an oligopolistic market. You represent two rival firms (Firm A and Firm B). You must each decide independently whether to set a High Price or a Low Price for your product. Your goal is to maximise your firm's payoff (profit). *The catch? You don't know what your competitor will do.*

Instructions

1. Pair up with a partner — one is Firm A, the other is Firm B.
2. Without discussing, each secretly choose a pricing strategy (High or Low).
3. Reveal your choices at the same time.
4. Use the payoff matrix below to record your scores.
5. Discuss what happened. Then repeat for two more rounds:
6. Round 2: You may talk before deciding, but you must both make separate decisions without telling the other person/company
7. Round 3: Consider long-term cooperation (repeated interaction so you inform the other company of your decision before revealing it).
8. After Round 3, reflect on how communication and trust influenced your decisions.

Payoff Matrix

	Firm B: High Price	Firm B: Low Price
Firm A: High Price	(3, 3)	(0, 5)
Firm A: Low Price	(5, 0)	(1, 1)

Discussion Questions

- Which strategy did you and your partner choose first? Why?
- Did your strategy change in later rounds? What caused the change?
- What does this tell you about trust and cooperation in business competition?
- Can you think of real-world examples (e.g., airlines, supermarkets) where firms face similar pricing dilemmas?

Key Insight

This activity illustrates that in competitive markets with few firms (oligopoly), decisions are interdependent. Even though cooperation can lead to better

outcomes for both, fear of being undercut often pushes firms toward aggressive competition — a dilemma at the heart of strategic business decisions.